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Sieyuan Electric Co.Ltd. | Asia Pacific

Our thoughts on latest US Executive Order 14420 news

Fundamentally contained; correction driven by sentiment; more details of EO to be a key catalyst

The share price of Sieyuan fell 10% yesterday, on fears that the latest US [Executive Order](#) (EO) may restrict the use of foreign-produced bulk-power system electric equipment.

Real fundamental impact is manageable: We expect Sieyuan's US order exposure to be 3-4% in 2025-26e, and a similar revenue exposure for 2026-27e. US profit contribution remains below <10% during 2025-26e, even considering more lucrative margins. In addition, against a persistent global shortage of power transformers, volumes displaced from the US can be redirected to other overseas markets, such as Europe and the Middle East, cushioning the earnings hit, in our view.

Details of EO still pending: Implementation rests on forthcoming Department of Energy (DOE) rules in the next 120 days. The EO focuses on US grid systems above 69kV, while it's uncertain whether the high-voltage transformers brought by data centers to connect to the grid will be in scope. This is crucial to Sieyuan, as most of its US orders are non-grid. Before more visibility, the valuation could remain under pressure, as investors value the US business at a premium.

Sieyuan's transformer capacity expansion: We remain positive on Sieyuan's order/revenue trajectory, backed by its ongoing capacity expansion toward 4Q27. Once it's fully operational, total transformer capacity will reach ~Rmb10bn, broadly matching Sieyuan's transformer order target in 2027.

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MORGAN STANLEY ASIA LIMITED+

Eva Hou

Equity Analyst

Eva.Hou@morganstanley.com

+852 2848-6964

Tom Li

Equity Analyst

Tom.Li1@morganstanley.com

+852 2239-1059

Sieyuan Electric Co.Ltd. (002028.SZ, 002028.CS)

Top Pick

China Utilities | China

Stock Rating	Overweight			
Industry View	Attractive			
Price target	Rmb237.00			
Up/downside to price target (%)	54			
Shr price, close (Aug 27, 2026)	Rmb153.44			
52-Week Range	Rmb239.12-83.57			
Sh out, dil, curr (mn)	782			
Mkt cap, curr (mn)	Rmb119,999.0			
EV, curr (mn)	Rmb113,961.2			
Avg daily trading value (mn)	Rmb1,800			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	4.03	5.27	7.41	9.78
EPS (Rmb)§	3.97	5.25	7.19	9.45
Revenue, net (Rmb mn)	21,539.0	29,242.9	39,656.3	51,662.0
EBITDA (Rmb mn)	3,966.7	5,441.2	7,599.1	10,183.4
ModelWare net inc (Rmb mn)	3,150.1	4,124.7	5,793.9	7,647.9
P/E	38.4	29.1	20.7	15.7
P/BV	7.8	6.3	5.0	3.9
RNOA (%)	40.0	44.5	48.7	52.1
ROE (%)	25.4	26.6	30.4	31.7
EV/EBITDA	29.0	20.8	14.6	10.6
Div yld (%)	0.4	0.5	0.6	0.8
FCF yld ratio (%)**	1.1	1.1	2.0	3.4
Leverage (EOP) (%)	(37.6)	(36.4)	(38.8)	(43.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Sieyuan Electric Co.Ltd. (002028.SZ)

We use discounted cash flow analysis to capture long-term cash flows for 2027-37. Key assumptions:

- WACC of 7.5%, which reflects a CoE of 9.5% (beta of 1.2, risk-free rate of 2.1%, risk premium of 4.5%, a China premium of 2.0%), an after-tax CoD of 6.0% and a target debt-to-capital ratio of 40%.
- 1% terminal growth.

Risks to Upside

- Better-than-expected overseas order intake (especially the US and Middle East)
- Better-than-expected market share gains in State Grid's tenders
- Better-than-expected penetration in higher-end product (e.g., >330kV GIS) tenders from State Grid

Risks to Downside

- Weaker-than-expected overseas new orders
- Weaker-than-expected domestic order intake
- Weaker-than-expected market share gains in State Grid's public tenders

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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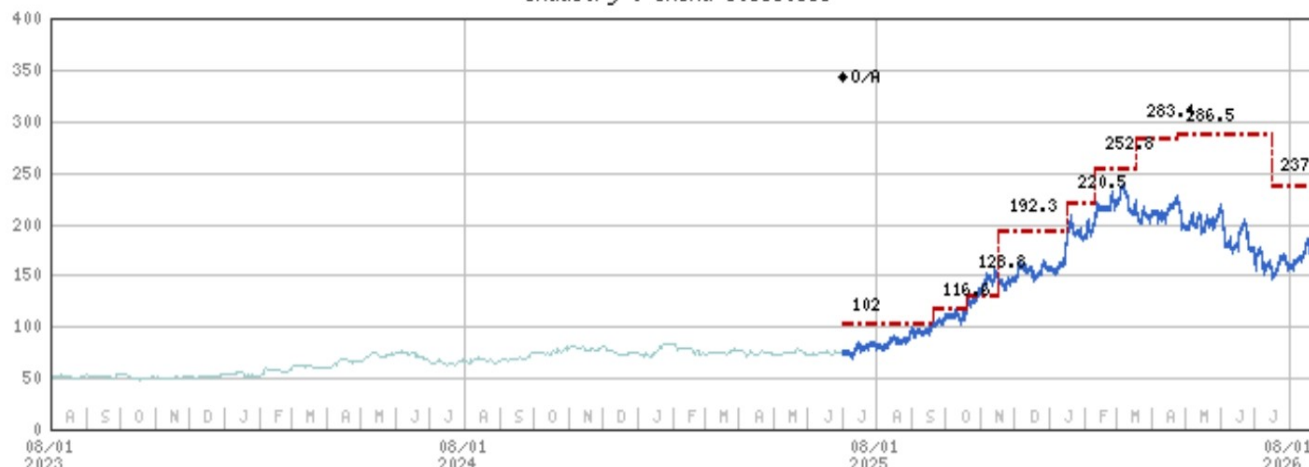
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Sieyuan Electric Co.Ltd. (002028.SZ) - As of 08/28/26 GMT in CNY
Industry : China Utilities



Stock Rating History: 7/1/25 : 0/A

Price Target History: 7/1/25 : 102; 9/19/25 : 116.6; 10/19/25 : 128.8; 11/17/25 : 192.3; 1/16/26 : 220.5; 2/10/26 : 252.8; 3/18/26 : 283.4; 4/23/26 : 286.5; 7/16/26 : 237

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst)
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Utilities

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/27/2026)
Eva Hou		
CGN Power Co., Ltd (1816.HK)	E (03/21/2026)	HK\$2.99
CGN Power Co., Ltd (003816.SZ)	U (03/29/2021)	Rmb4.18
China Longyuan Power Group (0916.HK)	E (01/20/2026)	HK\$5.58
China Longyuan Power Group (001289.SZ)	E (08/06/2024)	Rmb15.67
China Resources Power (0836.HK)	E (03/21/2026)	HK\$19.38
China Yangtze Power Co. (600900.SS)	O (11/14/2023)	Rmb28.10
Dajin Heavy Industry (002487.SZ)	O (04/18/2026)	Rmb35.41
Goldwind (002202.SZ)	U (01/20/2026)	Rmb18.74
Goldwind (2208.HK)	E (08/17/2022)	HK\$9.94
Hangzhou First Applied Material Co. Ltd (603806.SS)	O (01/18/2023)	Rmb15.34
Henan Pinggao Electric (600312.SS)	O (01/18/2024)	Rmb20.01
Huaneng Power International Inc. (0902.HK)	E (06/30/2022)	HK\$5.52
Huaneng Power International Inc. (600011.SS)	U (04/07/2021)	Rmb6.76
JA Solar Technology Co Ltd (002459.SZ)	E (09/02/2025)	Rmb7.18
Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)	O (10/12/2020)	Rmb36.08
LONGi Green Energy Technology Co Ltd (601012.SS)	U (09/02/2025)	Rmb12.15
NARI Technology (600406.SS)	O (11/01/2015)	Rmb23.06
Ningbo Orient Wires & Cables Co Ltd (603606.SS)	O (08/17/2022)	Rmb34.24
Riyue Heavy Industry Co., Ltd. (603218.SS)	O (02/11/2025)	Rmb9.79
Shanghai Electric (2727.HK)	U (03/26/2021)	HK\$2.95
Shanghai Electric (601727.SS)	U (03/26/2021)	Rmb6.64
Sieyuan Electric Co.Ltd. (002028.SZ)	O (07/01/2025)	Rmb153.44
Sinoma Science & Technology Co. Ltd. (002080.SZ)	O (09/23/2025)	Rmb52.48
Sungrow Power Supply Co. Ltd (300274.SZ)	O (06/09/2026)	Rmb98.84
Tongwei Co. Ltd. (600438.SS)	E (09/02/2025)	Rmb11.90
XJ Electric (000400.SZ)	E (03/21/2026)	Rmb22.04

Hannah Yang, CFA

Xinyi Solar Holdings Ltd (0968.HK)	O (07/30/2020)	HK\$2.35
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Tom Li		
Anhui Yingliu Electromechanical Co Ltd (603308.SS)	O (04/08/2026)	Rmb45.05
China Gas Holdings (0384.HK)	E (07/10/2026)	HK\$5.59
China Resources Gas (1193.HK)	E (07/10/2026)	HK\$16.20
Huaming Power Equipment (002270.SZ)	O (04/08/2026)	Rmb18.83
Ningbo Sanxing Medical Electric Co. Ltd. (601567.SS)	O (04/08/2026)	Rmb14.68

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.